

OIL AND GAS LEASE

(Producers 88 -- Paid-Up) Form No. TX-88-PB

THIS AGREEMENT made this January 15, 2025, by and between Margaret A. Caldwell, a single woman ("Lessor", whether one or more), and Llano Estacado Operating, LLC ("Lessee").

1. Granting Clause

Lessor, in consideration of \$1,500.00 per net mineral acre and the covenants herein, grants, leases, and lets exclusively unto Lessee the land described below for the purpose of exploring, drilling, operating for, and producing oil and gas, together with rights of ingress and egress and the use of the surface as reasonably necessary.

This lease also covers and includes all land owned or claimed by Lessor adjacent or contiguous to the land particularly described above, whether the same be in said survey or in adjacent surveys, although not included within the boundaries above (the "Mother Hubbard" clause).

2. Description of Leased Premises

The leased premises are situated in Midland County, Texas, and described as: Section 14, Block 39, T-2-S, Texas & Pacific Ry. Co. Survey, Abstract No. 1187, containing 640.00 acres, more or less (the "Leased Premises").

3. Primary Term

This lease shall remain in force for a primary term of three (3) years from the effective date and as long thereafter as oil or gas is produced in paying quantities from the Leased Premises or lands pooled therewith (the habendum).

4. Royalty

Lessee shall pay Lessor a royalty of one-fourth (1/4) of the gross proceeds of all oil and gas produced and sold, free of the costs of production but bearing its proportionate share of post-production costs as permitted by law.

5. Shut-In Royalty

If a well capable of producing gas is shut in, Lessee may maintain this lease by paying a shut-in royalty of \$50.00 per net mineral acre per year.

6. Pooling and Unitization

Lessee may pool the Leased Premises with other lands to form a unit not exceeding 640 acres (plus 10% tolerance) for an oil well or 1,280 acres for a horizontal gas well, in conformity with applicable spacing and density rules.

7. Continuous Operations and Dry Hole

If at the expiration of the primary term oil or gas is not being produced but Lessee is then engaged in drilling or reworking operations, this lease shall remain in force so long as such operations are prosecuted with no cessation of more than ninety (90) consecutive days. If a dry hole is drilled, the lease shall not terminate if Lessee commences additional operations within ninety (90) days thereafter.

8. Force Majeure

When operations or production are prevented or delayed by force majeure -- including acts of God, war, governmental regulation or delay in issuing permits, inability to obtain materials, or lack of available market or transportation -- this lease shall not terminate, the time of such delay shall not be counted against Lessee, and the lease shall be extended for so long as operations are so prevented or delayed.

9. Pugh Clause

Pugh Clause: Upon expiration of the primary term, this lease shall terminate as to all lands and all depths not then included within a producing or pooled unit, unless Lessee is then conducting continuous operations as provided herein.

10. Warranty, Surrender, and Successors

Lessor warrants and agrees to defend title to the Leased Premises and grants Lessee the right to redeem for Lessor any unpaid taxes or mortgages. Lessee may surrender this lease, in whole or in part, by recording a release. This lease binds the heirs, successors, and assigns of the parties.

IN WITNESS WHEREOF, the parties execute this lease as of the effective date.

LESSOR: Margaret A. Caldwell, a single woman

LESSEE: Llano Estacado Operating, LLC

STATE OF TEXAS

COUNTY OF MIDLAND

This instrument was acknowledged before me on the date written above by Margaret A. Caldwell, a single woman.

Notary Public

My commission expires: _____